

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

HOLD

Composite · Valuation: SELL
Blended Target: \$94.22
Implied upside: -18.6%

Consumer Defensive · Discount Stores
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-28

Price (Jun): \$115.69

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$94.22 (-18.6% vs \$115.69); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (7.3% YoY)

COMPOSITE INVESTMENT SIGNAL

Composite: HOLD (score -0.17, confluence 50%) · TA: BULLISH · Quant: POSITIVE · FSA: Stable. Valuation rich but trend improving — wait for confirmation.

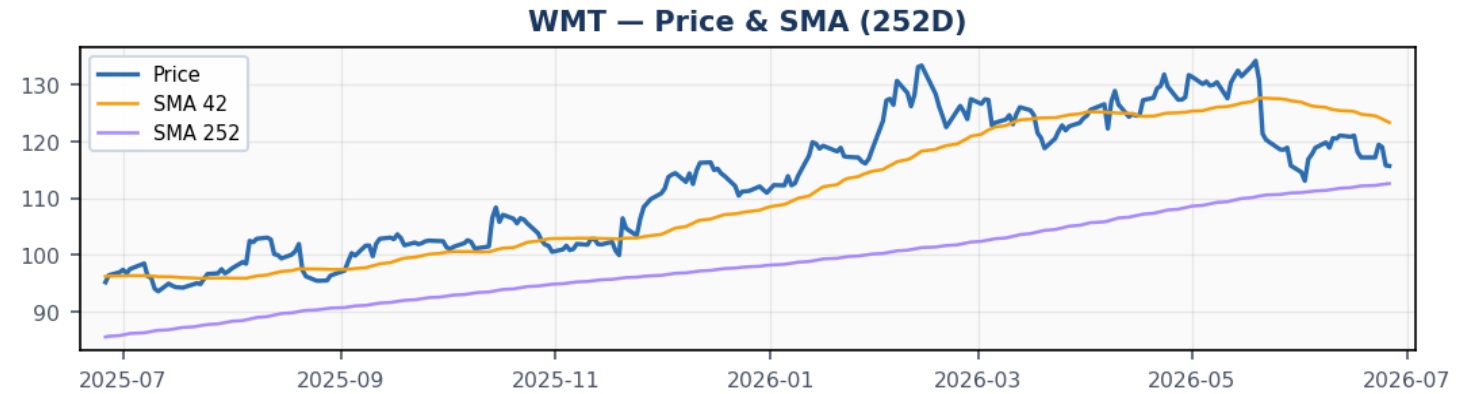
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$94.22. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$920.67B	Shares Out.	7958.1M
52-Week Range	\$94.23 – \$135.16	P/E (TTM)	40.9x
P/B	9.8x	Beta	0.60
Avg Volume	20.79M	Analyst Rec.	Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Net Income Growth (%)	N/A	12.6%	7.3%	5.9%	4.9%
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
ROE (%)	21.4%	22.0%	23.6%	22.6%	22.6%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
Book Value / Share (\$)	11.44	12.52	12.52	13.80	14.49
P/E (x)	47.37	42.05	39.19	37.02	35.31
P/B (x)	10.12	9.24	9.24	8.38	7.98
Dividend Yield (%)	86.0%	86.0%	86.0%	86.0%	86.0%

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Stable (score +0.00). Strengths: Strong ROE 24.1%. Risks: Current ratio 0.79x — liquidity pressure. 3Y projection: ~6.3% revenue growth; Y3 revenue \$870.86B.

Metric	Value	Assessment
FSA Health Score	+0.00	Stable
Revenue CAGR (3Y)	5.3%	
Net Income CAGR (3Y)	23.3%	
Gross Margin Trend	Stable	
Operating Margin Trend	Stable	
Current Ratio	0.79x	Liquidity
Debt / Equity	75%	Leverage
ROE	24.1%	Profitability
FCF / Net Income	0.68x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$770.90B / \$870.86B	@6.3%
Proj. Net Income (Y1 / Y3)	\$25.67B / \$29.00B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$123.34	Short-term trend
SMA (252d)	\$112.59	Long-term trend
RSI (14d)	39.0	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$123.34, SMA252=\$112.59

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+21.5%	
3m Momentum	-5.7%	
Ann. Volatility	21.7%	
Sharpe Ratio	0.82	Rf=4%
Max Drawdown	-25.7%	
Rel. Strength vs SPY	+85.4%	
Quant Score	+0.65	POSITIVE
SMA Backtest (ann.)	25.3%	B&H; 31.1%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$81.93	-29.2%	32%	Included in blend
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$54.38	-53.0%	—	Peer median P/E 19.2x
Comps — P/E (peer median, forward EPS)	\$63.13	-45.4%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$115.03	-0.6%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$64.98	-43.8%	—	Peer median 12.3x
Comps — Blended (median of multiples + uplift anchors)	\$89.08	-23.0%	53%	Included in blend
Analyst consensus (Yahoo Finance)	\$138.59	+19.8%	15%	Included in blend
Blended target (weighted)	\$94.22	-18.6%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$14.92B
PV explicit (5Y)	\$87.64B
PV terminal	\$564.38B
Equity value (adj.)	\$652.02B
Implied price	\$81.93
vs. current	-29.2%

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (7.3% YoY)
- Defensive profile (β=0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 40.9x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	\$422.43B	47.8x	30.5x	3.0%	+21.5%
TGT	Target Corporation	\$63.76B	18.5x	9.5x	3.2%	+6.7%
DG	Dollar General Corpora	\$26.36B	16.9x	12.0x	3.6%	+3.4%
DLTR	Dollar Tree, Inc.	\$23.80B	19.9x	12.6x	6.5%	+7.2%
WMT*	Walmart Inc.	\$920.67B	40.9x	22.1x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.